



BizBuySell Insight Report

Q2 Acquisitions Drop 10%: Demand Stays Strong as Buyer Selectivity Reshapes the Business-for-Sale Market

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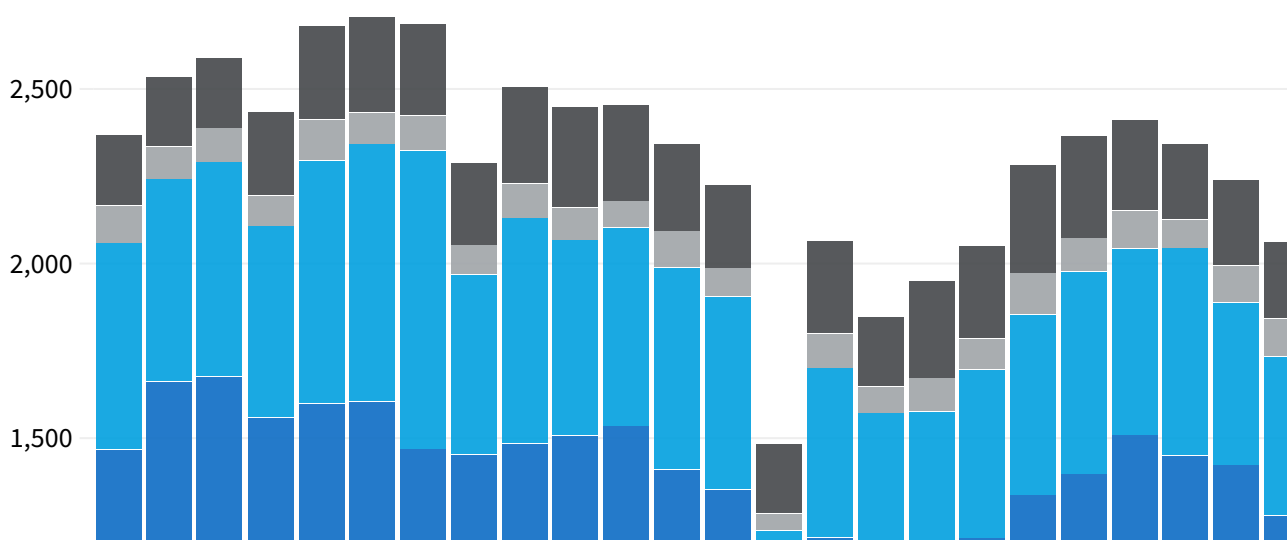
- **Valuations Hold Firm Despite Slower Deal Activity**
- **Financing Becomes a Major Deal Hurdle**
- **Demand Continues to Outpace the Supply of Quality Businesses**
- **Preparation Becomes a Competitive Advantage**

Closed Small Business Transactions



Number of transactions by quarter as reported on BizBuySell.com

Service Retail - Restaurant Retail - Other Manufacturing Other



The U.S. business-for-sale market moved into a more selective phase in Q2 2026, building on the stabilization seen throughout 2025 and the “value over volume” dynamic that emerged in Q1. This quarter, that shift broadened into a market defined by stricter underwriting, deeper financial scrutiny, and greater emphasis on earnings durability.

A total of 2,117 businesses changed hands in Q2 2026, down 10% both quarter-over-quarter and year-over-year, according to BizBuySell, which tracks U.S. business-for-sale transactions and sentiment among owners, buyers, and brokers. Total enterprise value reached \$1.8 billion.

Yet the businesses that sold were generally higher quality. The average cash flow multiple increased 2% year-over-year to 2.7, while the average revenue multiple remained essentially flat at 0.7. At the same time, the median sale price slipped just 1% year-over-year to \$349,250.

Business performance helps explain the increased scrutiny. Median cash flow fell 3% year-over-year to \$155,921, while median revenue fell 3% to \$692,087.

Although modest, these declines reflect the margin pressure many small businesses continue to face from rising costs. In fact, 63% of business owners say inflation is not easing, while 48% report business disruptions related to higher fuel and energy costs following the U.S.-Iran conflict.

“We prepare taxes, and many of our small business clients have closed business and filed final tax returns due to the cost of fuel impacting profitability. They are communicating that their ability to increase fees is not keeping up with inflation. They cannot absorb the losses in the interim. This is coming from many transportation business owners and many other businesses related to travel,” said one owner.

As a result, buyers are looking beyond top-line growth and placing greater emphasis on cash flow stability and operational resilience. [Dave Strejeck](#) of Sumtis Business Advisors in Pennsylvania notes, “I’m finding that buyers are still active and looking for solid opportunities, but they’re being very smart and strategic in the prices they pay for a business.”

The result was a quarter defined by selectivity rather than inactivity.

“The market remains highly active, but the era of unstructured, high-multiple exits for average businesses has subsided. Preparation, clean financials, and minimized owner dependence are now absolute prerequisites to securing a successful close,” said [Vipin Singh](#) of Murphy Business Sales in New Jersey.

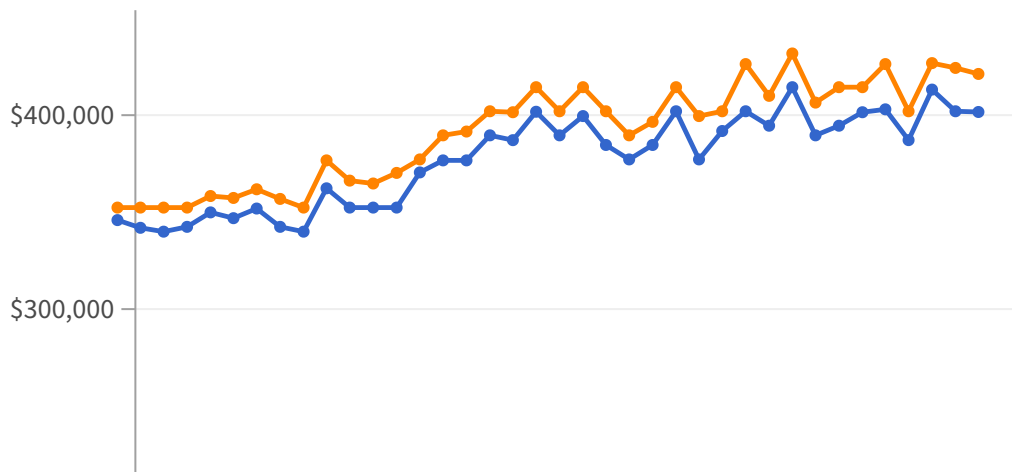
Buyer Demand Remains Strong Despite Market Headwinds

Median Sale Price vs. Asking Price

Median asking and sale price of small businesses as reported on BizBuySell.com

Industry **All Industries** ▼

Median Sale Price Median Asking Price



While buyers are becoming increasingly selective about the businesses they pursue, demand itself remains remarkably resilient.

"Q2 was slower than Q1 in terms of completed transactions, primarily because fewer quality businesses came to market rather than a decline in buyer demand. Qualified buyers remain active, particularly for businesses with strong financial performance, recurring revenue, and experienced management," said [Jason Ward](#) of TruView Business Advisors in Texas.

That demand is increasingly being fueled by professionals seeking greater control over their careers and financial futures. Forty-six percent (46%) of buyers identified as corporate refugees pursuing independence through business ownership, while 14% described themselves as serial entrepreneurs and 13% as recently unemployed professionals.

"Corporate professionals continue to represent a meaningful share of buyer activity. Many are motivated by a desire for greater control over their future and are actively pursuing established businesses with proven

cash flow rather than starting from scratch," said Tanya Popov of INIX Consulting & Brokerage in Michigan.

The buyer pool is becoming younger and increasingly sophisticated. Nearly half (48%) of business brokers report an increase in both Entrepreneurship Through Acquisition (ETA) and Search Fund activity, as well as growing interest from MBA graduates and business school alumni seeking to acquire and operate established businesses.

That evolution is becoming increasingly visible to brokers on the front lines.

"We are seeing a gradual increase in Entrepreneurship Through Acquisition and search fund activity, particularly in Texas. Universities such as Rice Business, along with growing interest from UT McCombs and Texas A&M Mays, are helping educate the next generation of acquisition entrepreneurs. At the same time, investors are becoming more familiar with the search fund model, providing aspiring business owners with greater access to capital. ETA is evolving from a niche strategy into a recognized path to business ownership, increasing competition for high-quality small businesses," said Ward.

Today's buyers are also showing clear preferences in what they want to acquire. Profitability ranked as the most important factor when evaluating a business purchase, ahead of both growth potential and industry stability. More broadly, 86% of buyers said they are seeking recession-resistant businesses, while 64% are looking for businesses that are already thriving.

Financial Readiness Matters More in Today's Market

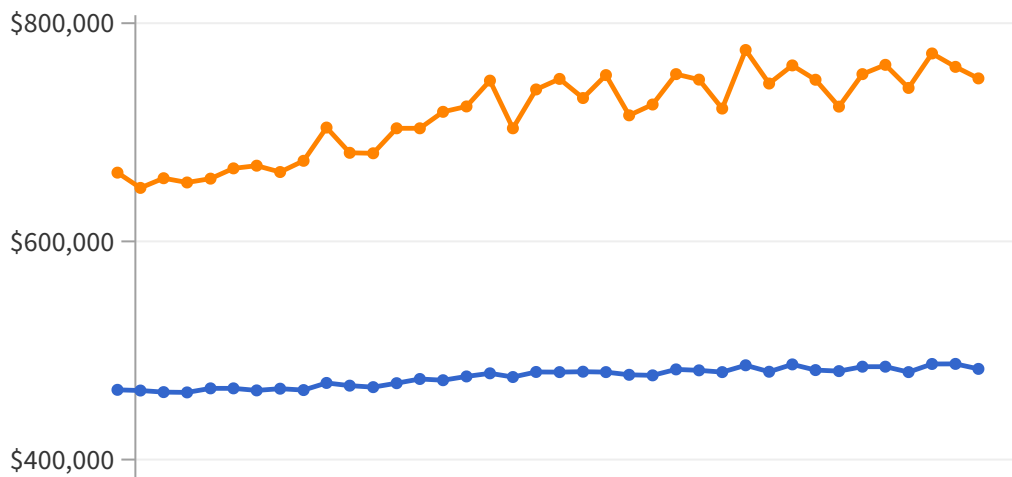
Key Financials of Sold Small Businesses



Median financials of small businesses as reported on BizBuySell.com

Industry **All Industries** ▼

Median Cashflow Median Revenue



While greater selectivity explains part of the slowdown in transactions, brokers increasingly point to tighter credit conditions and evolving SBA lending requirements as an additional source of friction in the market.

"The top macro concern for the remainder of 2026 is navigating the market's bifurcation driven by sticky regional inflation and tightening credit constraints. Specifically, managing the transactional bottlenecks created by the March 2026 SBA citizenship rule updates and the strict 10% equity injection / full standby rules stands out as the most pressing challenge," explains Murphy Business Sales' Vipin Singh.

These challenges are particularly important because SBA financing remains the backbone of the small business acquisition market. Nearly eight in ten buyers (78%) surveyed said they expect to use SBA financing to complete an acquisition.

While buyers are the ones obtaining SBA loans, brokers say sellers should be equally focused on SBA eligibility. Businesses that qualify for SBA financing generally attract more qualified buyers and improve the likelihood of a successful closing.

"For the Main Street and lower middle market, SBA eligibility is one of the single biggest drivers of marketability and valuation. It doesn't necessarily make

a business worth more on paper, but it can dramatically increase the number of qualified buyers and the probability of closing," said [Sheree C. Jones](#) of Legacy Team Associates in Maryland.

As SBA financing becomes more difficult to secure, seller financing is increasingly helping bridge the gap between buyers and sellers.

"Seller financing has become an important tool for completing transactions, particularly when buyers and sellers have different valuation expectations. Even a modest seller note can strengthen SBA-financed transactions, improve buyer confidence, and reduce the amount of equity required at closing. In today's market, seller financing is less about necessity and more about creating flexibility and aligning interests to get deals across the finish line," said Jason Ward of TruView Business Advisors.

Yet this remains one of the greatest disconnects in today's market. While 90% of buyers expect seller financing to be part of their acquisition strategy, only 29% of business owners plan to offer it. Almost half of sellers say they will not provide seller financing at all, while another 23% remain undecided.

As access to capital becomes more challenging, financing flexibility may increasingly determine which businesses close successfully and which remain on the market.

Few Owners are Prepared to Sell in Today's Market

As buyers become more selective and financing standards tighten, preparation has become increasingly important for owners considering an eventual exit. Yet survey results suggest many owners remain unprepared for the level of scrutiny that today's buyers, lenders, and advisors bring to the transaction process.

More than half of owners (52%) say they have an exit plan, but few have taken the steps necessary to validate their business's value. Only 14% have completed a professional valuation. Half (50%) have a rough estimate of what their business is worth, while more than a third (35%) admit they have no idea at all.

Price is only part of the equation. When asked about their priorities, owners were nearly evenly split between achieving a fast, low-stress sale (34%), ensuring business continuity and employee well-being (30%), and maximizing sale price (30%). Likewise, motivations for selling point more toward lifestyle transitions than macro concerns. Retirement remained the leading reason owners planned to sell (45%), followed by pursuing a new opportunity (29%), burnout (21%), and economic uncertainty (13%).

Taken together, the findings suggest many owners recognize that an eventual exit is coming, but far fewer have completed the preparation needed to capitalize on today's market conditions.

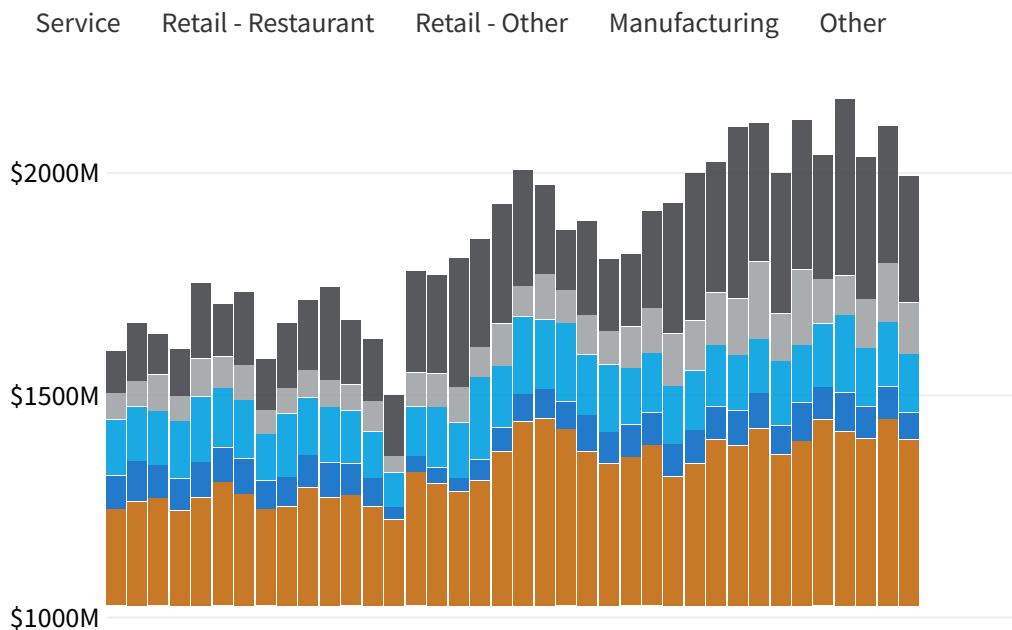
“I have been busy with phone calls from aging and burned-out owners ready to sell. Not ideal without any exit planning,” said [Joe Howell](#) of East Coast Business Brokers, LLC.

Sector Performance: Slowdown Spreads Across Industries

Est. Enterprise Value Transacted



Estimated total value of all transactions reported on BizBuySell.com



Transaction activity declined across all major sectors in Q2, but the underlying stories varied. While some industries continued to attract strong buyer interest despite lower volume, others faced increasing pressure from weaker financial performance, rising costs, or longer sale cycles.

Service and Retail: Valuations Hold Despite Softer Performance

Service businesses remained the market's largest segment in Q2, accounting for 40% of all transactions. Deal volume declined 11% year-over-year, but median sale price held steady at \$350,000. Average cash-flow multiples increased 2%, while median days on market improved 9% to 155 days.

Margin pressure was evident in the service sector, with median cash flow declining 4% and median revenue falling 7% year-over-year. Even so, buyers remained attracted to service opportunities with recurring revenue, lower capital requirements, and transferable operating models across professional, home, healthcare-related, and B2B services.

The retail sector experienced the sharpest drop in transaction activity, with deal volume declining 15% year-over-year. Yet, much like the service sector, valuations proved resilient. Median sale price held steady at \$250,000 despite softer business performance, with median revenue down 5% and median cash flow declining 3%. At the same time, average cash-flow multiples increased 6% year-over-year.

“Home services and anything with recurring revenue are still on fire. Retail appears to continue to be impacted by the Covid hangover, with high rents and long leases still scaring many buyers,” said [Andrew Stokely](#) of Franchise Broker Group in Tennessee.

Manufacturing and Restaurant Sale Prices Drop as Buyers Focus on Performance

Manufacturing business transactions declined 9% year-over-year, while the median sale price fell 10% to \$704,500. Buyers focused on opportunities with strong financials, with median cash flow up 17% and median revenue up 15%.

Despite these stronger earnings, values weakened and the average cash flow multiple dropped 7%. This suggests buyers were pricing more conservatively. That caution is also reflected in the longer deal cycle, with manufacturing transactions taking 247 days to close, up 17% year-over-year.

Restaurant business transactions declined 12% year-over-year as the median sale price fell 12% to \$205,000. Median cash flow rose 2% while median revenue declined 8%. Still, the average cash flow multiple increased 5%, indicating buyers placed relatively more value on cash-flowing restaurant operators even as revenue softened.

“Buyer interest is weakest in businesses with highly discretionary consumer spending, thin margins, or significant labor dependence. Traditional retail and many independent restaurants face greater scrutiny due to changing consumer behavior, rising operating costs, and execution risk. However, buyers are becoming more selective and are avoiding risk, not industries. Exceptional businesses continue to attract significant interest regardless of sector,” said Jason Ward of TruView Business Advisors.

While business-for-sale transactions slowed during the second quarter, most indicators suggest the slowdown reflects a period of caution rather than a weakening of long-term demand. Beneath the surface, many of the forces driving business acquisitions remain firmly intact. Corporate burnout, layoffs, and growing concerns about AI-driven job displacement continue to push professionals toward business ownership, while the long-anticipated wave of retiring business owners has yet to fully materialize. This has created a growing imbalance between buyer demand and the availability of acquisition-ready businesses capable of meeting today's buyer and lender expectations.

[Matt Coletta](#) of M&A Business Advisors in California believes that imbalance is one of the defining characteristics of today's market.

According to Coletta, "The market is saturated with well-capitalized, experienced buyers who possess impressive resumes and access to financing. However, the anticipated 'silver tsunami' of businesses for sale has not materialized. Instead of selling to third parties, some owners are opting to wind down operations or pass them to the next generation. This has created somewhat of a shortage of high-quality, sellable businesses with verifiable books that can qualify for an SBA loan, versus the large pool of qualified buyers competing for limited inventory."

The result is a market increasingly defined by competition. While uncertainty surrounding interest rates, energy costs, geopolitical events, and tighter SBA underwriting standards has contributed to slower deal velocity, competition for quality businesses remains intense.

Coletta cautions that many buyers underestimate just how competitive today's market has become. He believes social media often oversimplifies the acquisition process and creates unrealistic expectations about buyer leverage.

"This also means stop listening to social media influencers who make it seem like buyers have the power, they don't, not for good opportunities," said Coletta.

In today's market, acquiring a great business often looks less like shopping and more like competing for a highly sought-after job opportunity. Buyers who arrive with proof of funds, SBA prequalification, relevant industry experience, and a trusted advisory team are often at a significant advantage.

"With demand outstripping supply, sellers of desirable businesses are firmly in control. Buyers who attempt to negotiate aggressively or introduce difficult conditions are quickly moved to the 'back of the line' in favor of more seasoned candidates," said Coletta.

Businesses with predictable earnings, well-documented financials, and established operating histories continue to command premium valuations and attract multiple buyers. However, the market is far from uniform. As Enterprise Business Brokers' [Vincenzo LoCricchio](#) notes:

"Market favors sellers for high-performing businesses (SDE \$200k+ and SBA-prequalified) but shifts toward a buyer's market for marginal businesses."

For sellers, preparation is becoming just as important as timing. Experts increasingly recommend having their business reviewed by an SBA lender. Businesses that qualify for SBA financing generally attract the broadest buyer pool and strongest offers.

"Failing an SBA underwriting check doesn't make a business unsellable, but it shifts the transaction from a competitive, bank-leveraged sale into one heavily reliant on seller concession and structured financing," said Vipin Singh of Murphy Business Sales.

While uncertainty has slowed transactions in the short term, most industry participants remain optimistic about the second half of the year. In fact, 65% of brokers expect deal volume to increase compared to the same period in 2025.

"My outlook for the remainder of 2026 is genuinely optimistic, as the underlying drivers of deal activity remain strong and the trends we have been tracking throughout the year are only gaining momentum," said [Caleb Seegers](#) of Exceptional Business Advisors. "The continued growth of ETA programs, the influx of corporate refugees from tech layoffs, and the sophistication AI is bringing to how buyers evaluate and operate businesses are all converging to create a deeper and more capable buyer pool than we have seen in some time, and that demand has to find a home in quality businesses. The primary work on

our end is helping sellers get prepared early and pricing deals appropriately given the tighter financing environment.”

And perhaps no observation summarizes the market better than this from Calder Capital's [Max Friar](#): "Very bullish. Closings are picking up. The silver tsunami remains a trickle, however, the boomers can't wait forever. It's coming."

About the BizBuySell Insight Report

The BizBuySell Insight Report is a nationally-recognized economic indicator that tracks the health of the U.S. small business economy. Each quarter, BizBuySell analyzes sales and listing prices of small businesses across the United States based on approximately 50,000 businesses for sale and those recently sold, reporting changes in closed transaction rates, valuation multiples and other economic indicators for the small business transaction market. Closed transactions are reported to BizBuySell.com on a voluntary basis by business brokers nationwide. Each report includes real small business data on over 70 major U.S. markets and across 65 small business industries.

BizBuySell is the largest business for sale marketplace online, receiving over 4 million visits per month. Since 1996, BizBuySell has offered tools that make it easy for business owners and brokers to sell a business, and potential buyers to find the business of their dreams. The website also features an extensive franchise directory as well as an easy-to-use business valuation tool.

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